The Bank of England and the UK economy

The Bank of England acts as a banker to the government, as well as to commercial banks. The Bank issues bank notes, sets the base interest rate, and regulates the banking system, influencing the UK's economy.

The UK's central bank

The Bank of England (BOE) was established in 1694, making it the second oldest central bank in the world after Sweden's Riksbank. Since June 1998, the Bank of England has been fully independent from the UK government. Following the 1997 election that brought Labour to power, the then chancellor Gordon Brown initiated the Bank of England Act 1998 to give the Bank of England operational independence over monetary policy.

The Bank serves as the banker for commercial banks in the UK and acts as a "lender of last resort". It also maintains the government's bank account: the Consolidated Fund.

Aside from acting as banker to the government, the Bank of England has three primary roles: issuing bank notes, setting the base interest rate, and regulating the banking system. In its first two roles, the Bank of England aims to maintain stable prices throughout the UK economy and confidence in the UK currency, known as the pound, or sterling. It makes vital decisions over both the supply of money and the base interest rate that is charged on loans to commercial banks, and which is payable on their deposits with the central bank. In turn, these functions contribute to movements in the exchange rate, pushing the sterling higher or lower against the currency of other countries. By manipulating the money supply, the Bank of England has the power to directly influence the economic course of the UK.

Foreign currency

The Bank of England is also responsible for managing gold reserves and foreign exchange for Her Majesty's Treasury (HMT). The UK's stock of foreign currency is held in a government account for HMT. The Bank of England acts as HMT's agent, buying and selling foreign currency, and investing some of it within limits set by HMT. These reserves can be used in part to guard against large fluctuations in the pound sterling. For example, in the 12 months leading up to the 2016 Brexit vote to leave the European Union, the Bank of England increased its foreign currency reserves by 34 per cent. Economists saw this move as a precautionary measure to protect sterling from being devalued too much in the uncertainty following the Brexit decision.

Banknote printing and security

In England, sterling notes are printed solely by the Bank of England, but in Scotland and Northern Ireland seven other banks have a licence to print local currency with permission from the Bank of England. Three are based in Scotland and four in Northern Ireland. The Bank of England issues banknotes in denominations of £50, £20, £10, and £5 for circulation in England and Wales. Scotland and Northern Ireland also issue £100 notes, but only Scotland issues a £1 note.

Banknotes issued by Northern Ireland and Scotland can be used anywhere in the UK, but only if the trader agrees to accept them. Likewise, banknotes issued by the Bank of England can be used outside England and Wales if both parties conducting the transaction are in agreement. In other words, Bank of England banknotes are only legal tender in England and Wales, while banknotes issued in Scotland and Northern Ireland are only legal tender in their respective regions.

Interest rates

Before making decisions about raising, dropping, or maintaining interest rates, the Bank of England